Amazon.com, Inc.

AMZN NASDAQ

Buy	$267.95 ▲ 0.67%	12M Price Target $310.00	52-Week Range $196.00 – $287.20	Market Cap $2.90T

AMZN: Holding Near Highs as AI Capex Debate Heats Up

WHAT HAPPENED

- AMZN is sitting at $267.95, up a tick, but basically consolidating near its 52-week high ($287). The real story overnight was Pimco's CEO warning that AI companies could collectively borrow $10 TRILLION to fund data centers — that's a direct shot at Amazon, Microsoft, Google, and Meta, who are leading the capex arms race.
- Options flow is weirdly mixed — put/call ratio of 0.41 says bullish overall, but there's unusual PUT buying at $267.50 and $280 strikes (people paying up for downside protection into year-end). Translation: someone big is hedging a position they don't want to sell.

WHY IT MATTERS

The Pimco "AI debt bubble" warning matters because it's the first mainstream voice questioning whether hyperscaler capex is sustainable — and that narrative, if it sticks, caps the multiple investors are willing to pay (meaning they won't pay as much per dollar of earnings). But here's the inference: Amazon is actually the BEST positioned of the hyperscalers because AWS throws off real cash to fund AI buildout, while competitors are issuing debt. The toy-prices-rising story is a tell on tariffs — Amazon's retail margins get squeezed when import costs climb, but they also gain share because smaller retailers can't absorb the hit. Net-net, AMZN benefits from the chaos even while headlines look scary.

POLICY & POLITICAL WATCH

Three things to watch right now: (1) Tariff policy — the Trump administration's ongoing China tariff regime is pushing consumer goods prices up (toys at 49-year highs), which hurts Amazon's retail cost structure but crushes smaller competitors harder. (2) FTC antitrust case is still grinding — a loss could force structural changes to AWS or the marketplace, though a settlement is more likely. (3) The AI infrastructure permitting debate — there's bipartisan interest in fast-tracking data center and power grid approvals, which would be a direct tailwind since AWS is the biggest data center builder on the planet. If that gets attached to any year-end spending bill, it's a quiet win for AMZN.

IS IT EXPENSIVE?

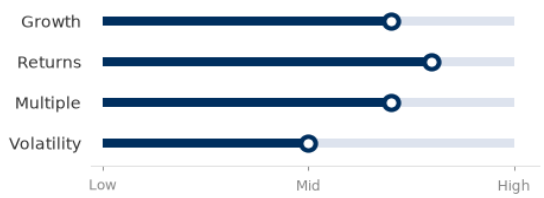
At ~39x forward earnings, you're paying $39 for every $1 of expected profit next year — that's premium to the S&P (around 22x) but reasonable for a company compounding AWS at 19%+ and now monetizing ads at a $60B+ run rate. The stock is trading at 79% of its 52-week range, so it's not cheap, but it's not stretched either. The real question isn't the multiple — it's whether $100B+ of annual capex produces returns or becomes a black hole.

WHAT COULD GO WRONG

Key Data

Price (USD)	**$267.95**
12M Price Target	**$310.00**
Upside / (Downside)	**+15.7%**
Market Cap	**$2.90T**
FY2026E Revenue	**$712M**
FY2027E Revenue	**$790M**
FY2026E EPS	**$6.85**
FY2027E EPS	**$8.20**
Fwd P/E	**39.1x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

AMZN — Amazon.com, Inc. | November 12, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$285.00**	$272.00	**$255.00**
6 Months	**$310.00**	$285.00	**$240.00**
1 Year	**$340.00**	$310.00	**$225.00**
2 Years	**$400.00**	$350.00	**$220.00**
5 Years	**$550.00**	$450.00	**$250.00**
10 Years	**$900.00**	$650.00	**$300.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2% today, +5% this week) — that's a tell. Data centers need power, and the market is finally pricing in that AI demand = electricity demand. Utilities are quietly up too.

COOLING OFF: Financials and Healthcare both down — money is rotating OUT of defensive and rate-sensitive names.

ROTATION WATCH: Capital is flowing into the "picks and shovels" of AI — energy, power infrastructure, data center REITs. That's bullish for AMZN indirectly because it validates the demand side of the AI story.

RELATED PLAY: If you believe the AI capex story, the power and cooling infrastructure names (Vertiv, Constellation Energy, nuclear plays) benefit before Amazon's earnings do. They're the second derivative.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the purest AI capex play — every dollar AMZN spends on data centers partially lands here.
- META (Meta Platforms): Has arguably monetized AI faster than AMZN through ad targeting improvements.

AMZN CONTEXT: Amazon is middle-of-the-pack among mega-cap tech right now — not leading like NVDA, not lagging like AAPL. That's actually a setup I like: less crowded trade, more room to surprise. If AWS growth re-accelerates in Q4, AMZN closes the gap fast.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but I'm not pounding the table at $268 when it was $240 a month ago.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that an AI-sentiment drawdown doesn't wreck you.

ENTRY POINTS: Add on pullbacks to $255-262. If we get an "AI bubble" headline that knocks it to $245, back up the truck.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is Q4 earnings showing AWS growth re-accelerating and ad revenue crossing new milestones.

WHEN TO BAIL: AWS growth drops below 15%, antitrust ruling forces breakup, or the stock loses the $240 level on heavy volume.

HEDGING: Simplest hedge — buy some protective puts 10% below current price for 3-6 months out. Costs a little, sleeps better. Or pair it against a more speculative AI name that would fall harder in a bubble-pop scenario.

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